

Discount Policy & Profit Leakage

US retail superstore · 9,994 order lines · 5,009 orders · \$2.30M revenue

BOTTOM LINE

Every discount above 20% loses money. Those orders are 16% of revenue but destroy \$135K of profit, against a company-wide profit of \$286K. Capping discounts at 20% raises profit by 62%.

PROFIT MARGIN

12.5%

\$286K on \$2.30M

LOSS-MAKING LINES

18.7%

1,871 lines, -\$156K

DEEP-DISCOUNT LOSS

-\$135K

on just 16% of revenue

RECOVERABLE

+\$179K

+62% profit, no new sales

Three findings

1 There is no profitable discount above 20%

At 0% the margin is 29.5%. At 20% it is still 11.8%. At 30% it turns negative (−10.0%) and it never comes back: −34.8% at 50%, −98.7% at 70%, −180% at 80%. This is not a gradual decline — it is a line the business crosses 1,393 times a period.

Action: hard cap at 20%, approval required above it → +\$179K profit, +62%

2 Three sub-categories carry the leak

Tables is \$207K of revenue (9% of the total) at a −8.6% margin, discounted 26% on average. Bookcases loses \$3.5K at a 21% average discount. Machines is \$189K of revenue for \$3.4K of profit — a 1.8% margin on a 31% discount. Everything else in the catalogue is profitable.

Action: pull deep discounts on these three first → \$396K of revenue in scope

3 The problem is regional discipline, not the catalogue

Central discounts 24% on average and returns a 7.9% margin. West discounts 11% and returns 14.9% on more revenue — same products, same period. Ten of 49 states lose money, together −\$98K. Texas alone sells \$170K and loses \$25.7K, at a 37% average discount.

Action: audit Central and the ten loss-making states → 7 points of margin gap

Margin by discount level

DISCOUNT APPLIED	LINES	REVENUE	PROFIT	MARGIN
0%	4,798	\$1.09M	\$320,988	29.5%
10%	94	\$54K	\$9,029	16.6%
20%	3,657	\$765K	\$90,337	11.8%
30%	227	\$103K	-\$10,369	-10.0%
40%	206	\$116K	-\$23,057	-19.8%
50%	66	\$59K	-\$20,506	-34.8%
70%	418	\$41K	-\$40,075	-98.7%
80%	300	\$17K	-\$30,539	-180.0%

Scope: all order lines. Bands with fewer than 10 lines (15%, 32%, 45%, 60%) omitted from the table but included in all totals.

Recoverable = revenue currently discounted above 20% re-priced at the 1–20% band margin of 11.9%. Source: Sample Superstore public dataset.